● CFO AGENT // DIAGNOSTIC READ-OUT

Effective Labor Rate — Revenue Recovery Model

Heilman Auto Group · Ardmore · West Chester · Hatboro | Adjust inputs to your real shop numbers. All math in integer cents.

SHOP INPUTS

Productive technicians (all locations)

9

Avg BILLED hours / tech / week

32

Billed flagged hours — not clocked. 32 = 80% proficiency on a 40-hr week.

Working weeks / year

50

RATE SCENARIO

Current posted labor rate

$139.00 / hr

139

Proposed labor rate

$169 / hr

169

Target band: $160–$180/hr — in line with the local affluent-market rate.

▸ REVENUE RECOVERY — WHAT $139 IS COSTING

ANNUAL BILLED HOURS	ADDED REVENUE / MONTH	ADDED REVENUE / YEAR
14,400	$36,000	$432,000

Current @ $139	$2,001,600
Proposed @ $169	$2,433,600

DELTA = billed_hrs × (proposed − current). Same labor, same wrenches, same bays. The gap is pure recovered gross margin — it does not require selling one additional hour.

Per-hour rate increase carries ~100% margin: no added parts cost, no added labor cost. This is the highest-leverage lever on the board.

● CFO AGENT // CONSOLIDATED ROI READ-OUT

Tekmetric ROI — Days to Payback

Heilman Auto Group · 3 locations | Conservative defaults. Labor recovery only — consumables are owned by the Shop Supplies tool, so nothing is double-counted. Integer-cents engine.

SYSTEM COST

Cost / location / month

500

Locations

3

$500 × 3 = $1,500/mo · $18,000/yr.

UNBILLED LABOR LEAKAGE (CONSERVATIVE)

Productive techs

9

Labor rate $/hr

139

Lost labor hrs / tech / week

1.0

Default 1.0 — push it UP to your real number.

Working weeks / year

52

▸ DAYS INTO EACH MONTH UNTIL TEKMETRIC PAYS FOR ITSELF

8.3 days

Paid off by the 9th. The remaining ~22 days of the month are pure recovered margin.

▸ THE LEDGER — LABOR ONLY

Recovered unbilled labor / yr	+ $65,052
Tekmetric system cost / yr	– $18,000
Net annual gain	**+ $47,052**

RETURN ON EVERY $1 SPENT

$3.61

BREAK-EVEN: LOST HRS / MO

10.8 hrs

SYSTEM COST / MONTH

$1,500

NOT COUNTED HERE — ALL OF IT UPSIDE

- Shop-supplies / consumables recovery — owned by the Shop Supplies Fee tool (counted once, there).
- Idle-bay hours recovered by killing phone-vs-online double-bookings.
- The PA-compliance dispute you never lose — every authorization signed & timestamped.
- Faster cash via text-to-pay; lower AR aging.

`labor = techs × lostHrs × weeks × rate¢ · days = (monthly cost ÷ monthly recovery) × 30 · net = recovered − cost. Even on labor alone, conservative, the system pays for itself in the first week and a half of every month.`

● CFO AGENT // DIAGNOSTIC READ-OUT

Shop Supplies Fee — Trust Arbitrage Model

Heilman Auto Group · Ardmore · West Chester · Hatboro | Find the % + cap that nets consumables cost to zero while you give away the $3 top-offs. Integer-cents engine, fee % in basis points.

VOLUME & COST INPUTS

Repair Orders / month (all locations)

600

Avg LABOR revenue / RO

450

Fee is a % of labor only — not parts, per PA itemization norms.

True consumables cost / RO

12

Real cost of top-off fluids, rags, cleaners, gloves you currently nickel-and-dime.

FEE SCENARIO

Shop supplies fee — % of labor

7.0%

70

Slider in 0.1% steps. Target band: 5–8%.

Hard cap / RO

40

Caps the fee on big-labor tickets so it never feels predatory.

▸ PER-REPAIR-ORDER BREAKDOWN

Fee from % of labor	$31.50
Fee actually charged (after cap)	$31.50
Consumables cost recovered	− $12.00
Net margin / RO	$19.50

RECOVERED: Fee covers consumables with $19.50/RO left over. Goodwill is free.

BREAK-EVEN FEE %	NET MARGIN / MONTH	NET MARGIN / YEAR
2.7%	$11,700	$140,400

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charged = min( round(labor¢ × bp ÷ 10000), cap¢ )  ·  net = charged − consumables¢  ·  monthly = net × ROs. The $3 washer-fluid line item disappears; the structural fee recovers cost invisibly.
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PA compliance: the shop-supplies fee MUST be disclosed and itemized as its own line. Disclosed-and-capped is compliant. Vague-and-floating is not.